

inflation, see Chapter 5.) You're better off using an ordinary checking account and finding a higher-paying savings account for extra funds.

- **Pay your bills online.** Most banks provide free electronic bill payment. (For more details, see Chapter 2.) You simply go to your online checking account and find the link to paying bills, where you provide the names of merchants, the amounts you owe, and the dates on which you want each payment to arrive. These may be recurring bills or one-time payments. The bank will either take money from your account and send a certified bank check or simply make an electronic transfer.
- **Use direct deposit for your paycheck.** If you have a regular paycheck, ask your employer to electronically transfer it straight into your checking account. Some banks will not only waive minimum balance requirements if you have direct deposit, but also reduce monthly service charges or even offer you a small cash bonus.
- **Pick up the phone.** Many banks will waive fees if you contest them. If you find a fee on your statement, call the bank to explain why the fee occurred and why you think it should be erased. If it's your first offense—an overdraft mistake, for example—there's a good chance you can talk the service rep into removing it. A friend of a friend of mine moved to a city where her bank had no branches and found she was paying the bank a \$2 fee every time she used another bank's ATM. She called her bank and explained that since there were no branches in her city, she had no choice but to use other banks' ATMs. The manager removed three months of fees, saving her \$44.

CONSIDER A CREDIT UNION

Credit unions tend to charge lower rates on loans and pay higher rates on savings accounts than ordinary banks (better even than